

Iluvatar (9903.HK)

China AI Capex upcycle to drive growth ahead; Initiate at Buy with TP at HK\$1,000

9903.HK 12m Price Target: **HK\$1,000.00** Price: **HK\$495.20** Upside: **101.9%**

Iluvatar is a leading General-Purpose Graphics Processing Units (GPGPU) fabless chip company in China, serving more than 300 clients across various industries. We expect net income to grow at a +119% CAGR in 2027E-29E driven by three key factors: (1) China AI capex upcycle: as we highlighted in our June report ([Global Server TAM](#)), we raised our China CSP AI capex forecasts by 37%/44%/55% for 2026E/2027E/2028E, respectively, reflecting strong AI investment momentum in China. We expect the growing adoption of AI applications in China to drive further AI infrastructure investment; (2) Expansion of the local ecosystem across GPUs, servers, networking, foundation models, AI application, etc., which is encouraging local customers to reduce reliance on a single supplier and creating opportunities for the domestic supply chain; and (3) Product mix upgrade: continuous upgrades in AI chip specifications across training and inferencing workloads to cover a broader range of AI scenarios and computing requirements. We initiate coverage on Iluvatar with a Buy rating and 12-month target price of HK\$1,000 (implying 32x 2027E EV/Sales vs. +85% 2027E-29E revenue CAGR).

Key debates: We expect market concerns to likely center on fierce competition across local AI chip suppliers; however, we argue that the China market is in a strong growth phase, evidenced by rising AI capex from China CSPs, increasing token consumption and growing adoption of China AI models, along with local customers diversifying toward domestic suppliers. In 2025, global-tier AI chip suppliers still held more than a 50% market share in China, per IDC ([link](#)), implying significant upside for local AI chip suppliers to grow their businesses. Iluvatar's comprehensive customer coverage and leading position among local suppliers (ranking in the top 7 across local suppliers by shipments in 2025, per IDC) reflect its solid product quality and strong execution. The company's AI chips feature: (1) performance that meets complex computing demands while minimizing efficiency losses, (2) high compatibility, making it easier for customers to integrate them within their existing environments, and (3) strong

BUY

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Key Data

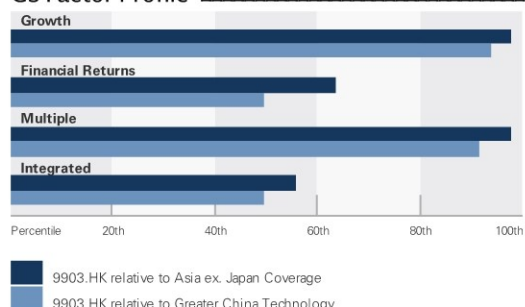
Market cap: HK\$128.7bn / \$16.4bn
Enterprise value: HK\$119.1bn / \$15.2bn
3m ADTV: HK\$979.2mn / \$124.9mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	1,033.6	2,970.0	6,683.0	12,579.2
EBITDA (Rmb mn)	(894.0)	(292.5)	1,110.7	2,888.8
EPS (Rmb)	(5.31)	(1.67)	4.37	10.68
P/E (X)	NM	NM	97.9	40.1
P/B (X)	NM	9.3	8.9	7.3
Dividend yield (%)	NM	0.0	0.0	0.0
N debt/EBITDA (ex lease,X)	—	—	(7.8)	(3.1)
CROCI (%)	(38.8)	(9.3)	25.1	45.0
FCF yield (%)	—	(1.5)	0.3	0.3

	12/25	6/26E	12/26E	6/27E
EPS (Rmb)	(1.84)	(1.69)	0.02	0.37

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Iluvatar (9903.HK)

Rating since Jul 19, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	NM	NM	97.9	40.1
P/B (X)	NM	9.3	8.9	7.3
FCF yield (%)	–	(1.5)	0.3	0.3
EV/EBITDAR (X)	–	NM	92.4	35.4
EV/EBITDA (excl. leases) (X)	–	NM	92.4	35.4
CROCI (%)	(38.8)	(9.3)	25.1	45.0
ROE (%)	(66.0)	(6.0)	9.5	20.0
Net debt/equity (%)	(19.3)	(73.2)	(69.3)	(58.7)
Net debt/equity (excl. leases) (%)	(19.3)	(73.2)	(69.3)	(58.7)
Interest cover (X)	(51.0)	(14.4)	31.4	87.8
Days inventory outst, sales	185.8	188.8	164.2	156.1
Receivable days	168.4	100.0	70.0	60.0
Days payable outstanding	201.2	200.0	200.0	200.0
DuPont ROE (%)	(42.7)	(3.6)	9.1	18.2
Turnover (X)	0.3	0.2	0.4	0.6
Leverage (X)	1.7	1.2	1.3	1.4
Gross cash invested (ex cash) (Rmb)	2,486.4	3,784.7	4,696.2	7,283.4
Average capital employed (Rmb)	1,456.4	2,466.9	3,430.6	5,057.4
BVPS (Rmb)	12.46	46.27	47.96	58.64

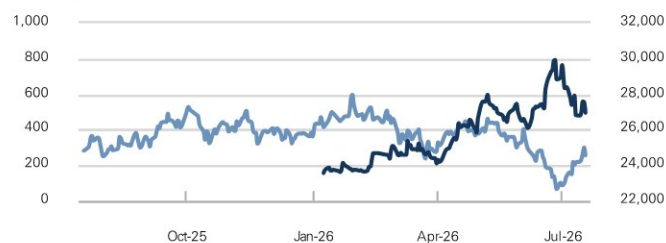
Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	91.6	187.3	125.0	88.2
EBITDA growth	(19.6)	67.3	479.7	160.1
EPS growth	2.5	68.6	361.6	144.5
DPS growth	NM	NM	NM	NM
EBIT margin	(101.5)	(15.2)	14.8	22.0
EBITDA margin	(86.5)	(9.8)	16.6	23.0
Net income margin	(97.1)	(13.8)	17.0	22.1

Price Performance

9903.HK (HK\$)

Hang Seng Index



	3m	6m	12m
Absolute	19.3%	184.9%	–
Rel. to the Hang Seng Index	27.1%	211.4%	–

Source: FactSet. Price as of 17 Jul 2026 close.

Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	1,033.6	2,970.0	6,683.0	12,579.2
Cost of goods sold	(475.6)	(1,391.4)	(3,135.8)	(5,949.0)
SG&A	(633.4)	(735.4)	(808.9)	(889.8)
R&D	(974.2)	(1,296.1)	(1,749.7)	(2,974.5)
Other operating inc./exp.)	–	–	–	–
EBITDA	(894.0)	(292.5)	1,110.7	2,888.8
Depreciation & amortization	(155.6)	(160.4)	(122.1)	(123.0)
EBIT	(1,049.5)	(452.9)	988.6	2,765.9
Net interest inc./exp.)	2.2	43.7	202.1	220.5
Income/(loss) from associates	–	–	–	–
Pre-tax profit	(1,003.7)	(409.2)	1,190.7	2,986.3
Provision for taxes	0.0	0.0	(54.7)	(209.0)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	(1,003.7)	(409.2)	1,136.1	2,777.3
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	(1,003.7)	(409.2)	1,136.1	2,777.3
EPS (basic, pre-exception) (Rmb)	(5.31)	(1.67)	4.37	10.68
EPS (diluted, pre-exception) (Rmb)	(5.31)	(1.67)	4.37	10.68
EPS (basic, post-exception) (Rmb)	(5.31)	(1.67)	4.37	10.68
EPS (diluted, post-exception) (Rmb)	(5.31)	(1.67)	4.37	10.68
DPS (Rmb)	–	–	–	–
Div. payout ratio (%)	0.0	0.0	0.0	0.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	1,504.7	9,344.6	9,691.2	10,004.4
Accounts receivable	576.6	1,050.8	1,512.5	2,623.1
Inventory	709.8	2,362.8	3,651.0	7,106.1
Other current assets	641.0	641.0	641.0	641.0
Total current assets	3,432.0	13,399.2	15,495.8	20,374.5
Net PP&E	187.7	207.2	254.9	291.5
Net intangibles	189.9	124.0	84.4	60.6
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	102.4	102.4	102.4	102.4
Total assets	3,912.0	13,832.7	15,937.5	20,829.0
Accounts payable	291.0	1,233.9	2,202.6	4,316.9
Short-term debt	684.2	684.2	684.2	684.2
Short-term lease liabilities	–	–	–	–
Other current liabilities	137.3	137.3	137.3	137.3
Total current liabilities	1,112.4	2,055.3	3,024.0	5,138.3
Long-term debt	365.4	365.4	365.4	365.4
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	81.1	81.1	81.1	81.1
Total long-term liabilities	446.5	446.5	446.5	446.5
Total liabilities	1,558.9	2,501.8	3,470.5	5,584.8
Preferred shares	–	–	–	–
Total common equity	2,353.1	11,330.9	12,466.9	15,244.2
Minority interest	–	–	–	–
Total liabilities & equity	3,912.0	13,832.7	15,937.5	20,829.0
Net debt, adjusted	(455.1)	(8,295.0)	(8,641.6)	(8,954.8)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	(1,003.7)	(409.2)	1,136.1	2,777.3
D&A add-back	155.6	160.4	122.1	123.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(410.7)	(1,184.4)	(781.2)	(2,451.4)
Other operating cash flow	97.2	–	–	–
Cash flow from operations	(1,161.6)	(1,433.1)	476.9	448.9
Capital expenditures	(102.5)	(104.0)	(120.3)	(125.8)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(29.7)	(10.0)	(10.0)	(10.0)
Cash flow from investing	(132.3)	(114.0)	(130.3)	(135.8)
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	–	–	–	–
Inc/(dec) in debt	409.9	–	–	–
Other financing cash flows	2,075.0	9,387.0	0.0	0.0
Cash flow from financing	2,485.0	9,387.0	0.0	0.0
Total cash flow	1,191.1	7,839.9	346.6	313.1
Free cash flow	(1,264.1)	(1,537.1)	356.6	323.1

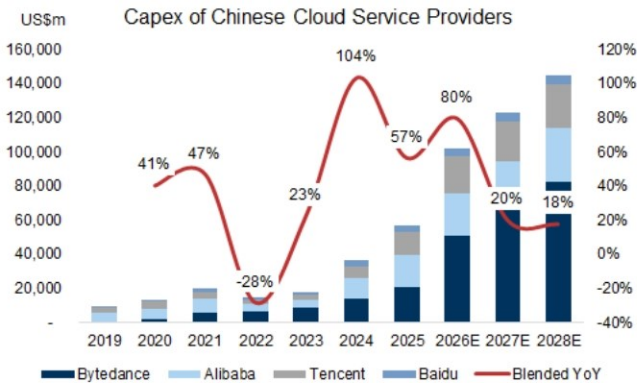
Source: Company data, Goldman Sachs Research estimates.

adaptability as the architecture is built on a widely compatible instruction set and modular software stack. We expect its AI chip shipments to grow at a 92% CAGR in 2025-30E and surpass 1mn units by 2030E.

Valuation: Our target price is based on a discounted 2030E EV / EBITDA, with our target multiple derived from peers' trading EV / EBITDA relative to their forward-year EBITDA growth. Our TP implies 21x 2030E P/E, or 0.3x P/E to forward-year NI YoY growth (41% in 2031E) and OPM (30% in 2031E). **Key downside risks:** fiercer-than-expected market competition, geopolitical tensions that constrain the company's ability to use global-tier foundries, and slower-than-expected AI infrastructure spending in China.

Iluvatar in six charts

Exhibit 1: China CSP capex trend



Data include ByteDance, Tencent, Alibaba, Baidu. We calculate ByteDance (private) relevant operating metrics by analyzing the industry and companies that our China Internet team cover, and then extrapolating them to ByteDance.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Iluvatar's revenue by products



Source: Company data, Goldman Sachs Global Investment Research

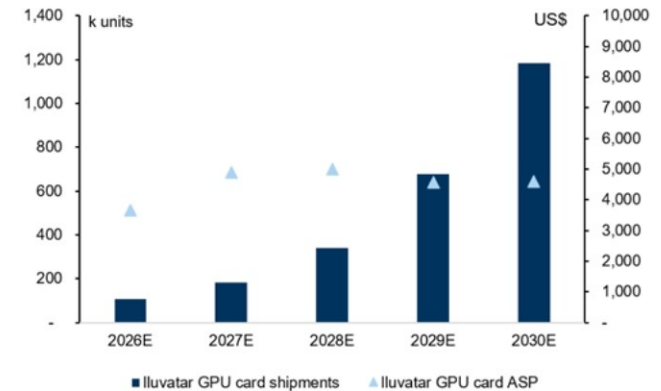
Exhibit 5: Iluvatar CoreX TG Series products



Source: Company data

Exhibit 2: Iluvatar's GPU card shipments to ramp in 2025-30E at +92% CAGR

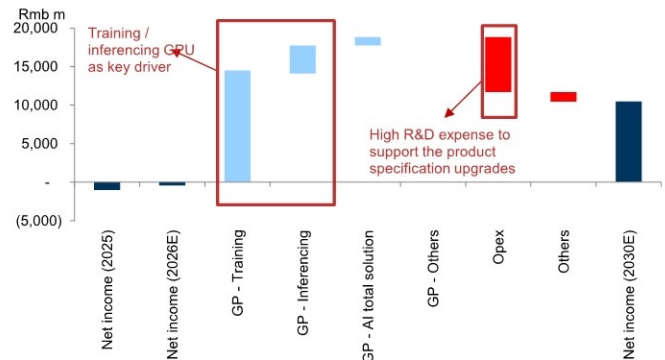
Iluvatar's GPU card shipment and ASP trends



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: AI GPU board as key driver

Waterfall chart 2025-30E



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Iluvatar CoreX KY Series products



Source: Company data

Financial highlights

Revenues: We forecast revenues to grow at a +108% CAGR over 2025-30E driven by the ramp-up in GPU board shipments underpinned by: (1) product migration toward AI GPUs with stronger computing performance, such as TG Gen 5 (expected to be launched in 2027E), to meet rising computing power demand in the China market; (2) continued client base expansion, from 22 clients in 2022 to 340 clients by end of 2025, covering internet, AI LLM, research, finance, education, and other verticals; (3) the uptrend in cloud capex by China's major CSPs, along with the AI chip localization trend, driving shipment growth for local AI chip suppliers; (4) Iluvatar's total AI computing solutions, including GPGPU servers and clusters, which integrates the AI chipset, software stack, storage, and networking infrastructure to support clients' large-scale model deployments; and (5) expansion into local CSP clients that typically have large computing board procurement volumes. We expect the company's GPU board shipments to grow at +92% CAGR in 2025-30E, reaching over 1mn units in 2030E from 45k units in 2025, leading to Iluvatar's strong revenue growth.

TG Series: Iluvatar's flagship AI training chip, the TG series, is designed with performance-optimized compute cores, memory components, and optimized architecture to deliver high-efficiency large-scale model training. The TG series has been adopted by research institutions, cloud computing centers, foundational model developers, research laboratories, and enterprise clients, leveraging its comprehensive framework compatibility to meet the rapid growth in AI computing demand.

ZK Series: The ZK Series focuses on cloud and edge inferencing demand, supports comprehensive connectivity through the cost-effective PCIe standard delivering low latency, high throughput, and strong power efficiency for LLM inferencing workloads. The ZK series has been deployed across diversified AI computing applications, including enterprise AI, production-scale serving of LLMs, video-processing and analysis, and medical imaging analysis, among others, reflecting the strength in Iluvatar's designs and large-scale delivery capability in AI inferencing products.

Software stack: In addition to hardware solutions, Iluvatar also provides a software stack with comprehensive compatibilities and an optimization approach that supports x86 and ARM architectures. The software stack enables lower cost migration from mainstream ecosystems to clients, while maintaining strong model performance and computing power utilization. It also enhances GPGPU performance, expands application scenarios, and bolsters Iluvatar's client base expansion in the local market.

Exhibit 7: Iluvatar's product pipeline

Product	Expected launch time	Remarks
TG Gen 3	3Q24	1. Improvement in large-scale cluster efficiency and connectivity 2. Supports advanced precision requirements for large AI model computing 3. Adopts the latest international standard interfaces including PCIe Gen5
ZK Gen 2	4Q25	1. Inferencing and general purpose computing chip 2. Supports high parameter count models with large on-board memory 3. Low power double data rate memory solution
ZK Gen 3	1Q26	1. Optimized for AI inferencing 2. Improved performance over previous generation product 3. High performance-to-cost ratio for large model inference and training applications
TG Gen 4	2Q26	1. Optimized for AI training 2. Improvements in computing power, bandwidth, and storage over previous generation 3. Enhanced architecture to support cloud-scale AI training and inferencing workloads
TG Gen 5	1Q27	1. Flagship AI training GPGPU 2. Enhanced computing performance from previous generation products 3. Flexible packaging configurations to bring compatibility with wider deployment scenarios

Expected launch time from company prospectus.

Source: Company data

GM: We model a slight downward trend in GM over 2025-30E, mainly reflecting a higher contribution from AI inferencing chips, while still expecting the GM to maintain at a high level above 51% in 2030E. **Opex ratio:** We expect the opex ratio to improve from 156% in 2025 to 23% in 2030E, supported by both the higher revenue scale and improving operational efficiency as AI computing board shipments ramp up. We model the R&D expense to grow at a 53% CAGR in 2025-30E to support the development of new GPU products with stronger performance. **Net income:** We expect NI to turn positive in 2027E and reach Rmb10bn in 2030E, underpinned by the ramp-up in shipments up of AI computing boards.

Exhibit 8: Iluvatar P&L summary

Rmb m	1H25	2H25	1H26E	2H26E	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Income statement												
Revenues	324	709	916	2,054	289	540	1,034	2,970	6,683	12,579	22,946	40,462
GP	162	396	486	1,092	143	265	558	1,579	3,547	6,630	11,797	20,830
OP	(631)	(418)	(437)	(16)	(803)	(887)	(1,050)	(453)	989	2,766	5,761	11,662
Net income	(609)	(394)	(415)	6	(791)	(892)	(1,004)	(409)	1,136	2,777	5,433	10,475
EPS (Rmb)	(3.48)	(1.84)	(1.69)	0.02	(5.43)	(5.45)	(5.31)	(1.67)	4.37	10.68	20.90	40.29
Margins												
GM	50.1%	55.8%	53.1%	53.2%	49.5%	49.1%	54.0%	53.2%	53.1%	52.7%	51.4%	51.5%
OPM	-194.7%	-59.0%	-47.7%	-0.8%	-277.8%	-164.5%	-101.5%	-15.2%	14.8%	22.0%	25.1%	28.8%
NM	-187.9%	-55.6%	-45.3%	0.3%	-273.8%	-165.4%	-97.1%	-13.8%	17.0%	22.1%	23.7%	25.9%
Ratios												
Opex ratio	244.8%	114.7%	100.8%	54.0%	327.3%	213.6%	155.5%	68.4%	38.3%	30.7%	26.3%	22.7%
Tax rate	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	4.6%	7.0%	9.0%	11.0%
YoY												
Revenues	64%	107%	183%	189%	53%	87%	92%	187%	125%	88%	82%	76%
GP	83%	125%	199%	176%	27%	85%	110%	183%	125%	87%	78%	77%
OP	na	na	na	na	na	na	na	na	na	180%	108%	102%
Net income	na	na	na	na	na	na	na	na	na	144%	96%	93%
HoH												
Revenues	-5%	119%	29%	124%								
GP	-8%	144%	23%	125%								
OP	na	na	na	na								
Net income	na	na	na	na								

Source: Company data, Goldman Sachs Global Investment Research

GS vs. Bloomberg consensus: Our 2026-27E revenues are higher than Bloomberg consensus, reflecting our more positive view on Iluvatar's computing board shipments. Our 2026-27E opex ratios are lower than consensus, considering the higher revenue scale and improving operational efficiency as shipments ramp up. Overall, our estimates show a narrower net loss in 2026E, and our 2027E net income is 27% higher than consensus.

Exhibit 9: GS vs. Bloomberg consensus

Rmb m	2026E			2027E		
	GS	Con.	Diff %	GS	Con.	Diff %
Revenues	2,970	2,786	7%	6,683	6,183	8%
GP	1,579	1,444	9%	3,547	3,303	7%
OP Income	(453)	(564)	na	989	899	10%
Net income	(409)	(535)	na	1,136	897	27%
Margins						
GM	53.2%	51.8%		53.1%	53.4%	
OPM	-15.2%	-20.2%		14.8%	14.5%	
NM	-13.8%	-19.2%		17.0%	14.5%	

Source: Goldman Sachs Global Investment Research, Bloomberg

CCC Days: We expect CCC day to improve from 303 days in 2026E to 150 days in 2030E, mainly on lower inventory days. We expect the inventory days to improve from 403 days in 2026E to 300 days in 2030E, supported by strong computing board shipments growth. **ROE:** We see ROE turning positive in 2027E, and improving to 40% in 2030E, mainly on rising asset turnover as revenues scale up. **FCF:** We expect FCF to turn positive in 2027E, reaching Rmb357mn, and grow to Rmb2,591mn in 2030E, mainly on rising operating cash flow driven by strength in earnings growth.

Exhibit 10: Iluvatar balance sheet

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Balance Sheet								
Cash and equivalents	308	314	1,505	9,345	9,691	10,004	13,870	16,452
Accounts receivable	200	377	577	1,051	1,513	2,623	3,664	7,422
Inventory	233	343	710	2,363	3,651	7,106	11,222	21,050
Other current assets	546	229	641	641	641	641	641	641
Current assets	1,287	1,262	3,432	13,399	15,496	20,375	29,397	45,565
Net PP&E/Fixed assets	106	128	188	207	255	292	301	327
Net intangibles	75	141	190	124	84	61	46	38
Other long-term assets	125	154	102	102	102	102	102	102
Non-current assets	306	423	480	433	442	454	450	468
Total assets	1,593	1,685	3,912	13,833	15,937	20,829	29,846	46,033
Accounts payable	128	233	291	1,234	2,203	4,317	7,902	13,613
Short-term debt	506	598	684	684	684	684	684	684
Other current liabilities	52	49	137	137	137	137	137	137
Current liabilities	686	880	1,112	2,055	3,024	5,138	8,723	14,434
Long-term debt	-	42	365	365	365	365	365	365
Other long-term liabilities	28	75	81	81	81	81	81	81
Non-current liabilities	28	117	446	446	446	446	446	446
Total liabilities	715	997	1,559	2,502	3,471	5,585	9,170	14,881
Common stock	186	194	229	260	260	260	260	260
Retained earnings	(2,851)	(3,743)	(1,684)	(2,093)	(957)	1,820	7,253	17,728
Other common equity	3,587	4,238	3,808	13,164	13,164	13,164	13,164	13,164
Total common equity	923	689	2,353	11,331	12,467	15,244	20,677	31,152
Minority interest	(44)	-	-	-	-	-	-	-
Total equity	878	689	2,353	11,331	12,467	15,244	20,677	31,152
BVPS	6.33	4.20	12.46	46.27	47.96	58.64	79.54	119.83
Cash conversion cycle								
Account receivable days	183	195	168	100	70	60	50	50
Inventory days	596	383	404	403	350	330	300	300
Net payable days	383	240	201	200	200	200	200	200
Cash conversion cycle	396	338	371	303	220	190	150	150
Ratios								
ROE (common equity)	-100%	-111%	-66%	-6%	10%	20%	30%	40%
ROA	-60%	-54%	-36%	-5%	8%	15%	21%	28%
Net debt to total equity	23%	47%	-19%	-73%	-69%	-59%	-62%	-49%
Net cash per share (Rmb)	(1.36)	(1.99)	2.41	33.87	33.24	34.45	49.32	59.25
Total liabilities to total assets	45%	59%	40%	18%	22%	27%	31%	32%
Dupont analysis								
Asset turnover	0.2	0.3	0.4	0.3	0.4	0.7	0.9	1.1
Leverage (assets to equity)	1.8	2.1	1.8	1.3	1.3	1.3	1.4	1.5
Net margin	(2.7)	(1.7)	(1.0)	(0.1)	0.2	0.2	0.2	0.3
CROCI (EDBITA/total equity)	-80%	-109%	-38%	-3%	9%	19%	29%	38%

Source: Company data, Goldman Sachs Global Investment Research

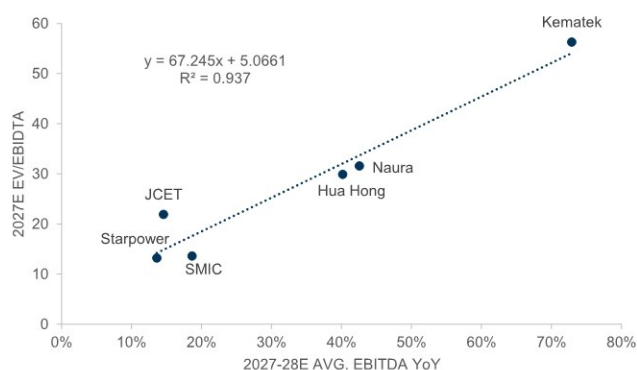
Exhibit 11: Iluvatar cash flow statement

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash flow statement								
Net income	(791)	(892)	(1,004)	(409)	1,136	2,777	5,433	10,475
Minority interest add-back	(26)	-	-	-	-	-	-	-
Depreciation and amortization add-back	105	140	156	160	122	123	141	154
(Increase)/decrease in working capital	(139)	(166)	(411)	(1,184)	(781)	(2,451)	(1,571)	(7,876)
Other operating cash flow items	145	301	97	-	-	-	-	-
Cash flow from operating	(707)	(618)	(1,162)	(1,433)	477	449	4,002	2,753
Capital expenditure	(71)	(85)	(103)	(104)	(120)	(126)	(126)	(162)
Other investment cash flow items	(83)	(81)	(30)	(10)	(10)	(10)	(10)	(10)
Cash flow from investing	(153)	(166)	(132)	(114)	(130)	(136)	(136)	(172)
Dividends paid	-	-	-	-	-	-	-	-
Change in common stock	15	8	35	9,387	-	-	-	-
Increase/(decrease) in short-term debt	384	91	87	-	-	-	-	-
Increase/(decrease) in long-term debt	(50)	42	323	-	-	-	-	-
Other financing cash flow items	598	649	2,046	-	-	-	-	-
Cash flow from financing	946	789	2,491	9,387	-	-	-	-
Net change in cash	89	6	1,191	7,840	347	313	3,866	2,581
FCF	(778)	(703)	(1,264)	(1,537)	357	323	3,876	2,591
Ratio								
Capex to revenue	24%	16%	10%	4%	2%	1%	1%	0%

Source: Company data, Goldman Sachs Global Investment Research

Valuation and downside risks

We derive our 12M TP of HK\$1,000 based on a discounted 2030E EV / EBITDA methodology to capture the company's long-term growth, in line with our GC Tech coverage. We apply a target EV / EBITDA multiple of 26.1x to our 2030E EBITDA, and discount it back to 2027E using a COE of 12.7% (Beta of 1.5, Risk-free rate of 3.0%, and a Market risk premium of 6.5%). Our target EV / EBITDA multiple is derived from: (1) peers' forward-year EV / EBITDA relative to average EBITDA YoY growth; and (2) Iluvatar's forward-year average EBITDA YoY growth (31% in 2031-32E). **Initiate at Buy.**

Exhibit 12: 2030E target EV / EBITDA of 26.1x is derived from the correlation between peers' EV / EBITDA and EBITDA growth

Source: Company data, Goldman Sachs Global Investment Research, Refinitiv Eikon

Exhibit 13: Iluvatar 2030E discounted EV / EBITDA

Rmb m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Iluvatar revenues (US\$m)		74	145	415	935	1,759	3,209	5,659	7,900	9,164
Iluvatar cloud chips (k units)		17	45	107	182	340	678	1,182		
Iluvatar cloud chips ASP (US\$)		3,296	2,986	3,668	4,888	4,988	4,559	4,609		
Revenue	289	540	1,034	2,970	6,683	12,579	22,946	40,462	56,485	65,522
Revenue YoY		87%	92%	187%	125%	88%	82%	76%	40%	16%
GM	49.5%	49.1%	54.0%	53.2%	53.1%	52.7%	51.4%	51.5%	51.4%	51.3%
GP	143	265	558	1,579	3,547	6,630	11,797	20,830	29,033	33,613
Opex ratio	327.3%	213.6%	155.5%	68.4%	38.3%	30.7%	26.3%	22.7%	21.5%	21.0%
OP	(803)	(887)	(1,050)	(453)	989	2,766	5,761	11,662	16,889	19,853
OPM	-277.8%	-164.5%	-101.5%	-15.2%	14.8%	22.0%	25.1%	28.8%	29.9%	30.3%
Non-op	(14)	(5)	46	44	202	220	209	107	107	107
Pretax profit	(817)	(892)	(1,004)	(409)	1,191	2,986	5,970	11,770	16,996	19,960
Tax	-	-	-	-	55	209	537	1,295	2,209	2,994
Tax rate	0%	0%	0%	0%	5%	7%	9%	11%	13%	15%
EBITDA	(698)	(747)	(894)	(292)	1,111	2,889	5,902	11,816	17,063	20,027
EBITDA YoY		na	na	na	na	160%	104%	100%	44%	17%
Net profit	(791)	(892)	(1,004)	(409)	1,136	2,777	5,433	10,475	14,787	16,966
NP YoY		na	na	na	na	144%	96%	93%	41%	15%
EPS			(5.31)	(1.67)	4.37	10.68	20.90	40.29	56.88	65.27
EPS YoY				na	na	na	96%	93%	41%	15%
Target EV/EBITDA (sector EV/EBITDA)								26.1		
Target EV/EBITDA x 2030 EBITDA								308,407		
Enterprise value (Rmb, 2027E)					215,539					
Debt					1,050					
Cash					9,691					
Equity value (Rmb, 2027E)					224,181					
Value per share (HKD, 2027E): Target Price					1,000					
Implied EV/Sales				73	32	17	9	5	4	3
Implied P/E				na	197	81	41	21	15	13
COE	12.7%									
Beta	1.5									
Risk-free rate	3.0%									
Market risk premium	6.5%									

Source: Company data, Goldman Sachs Global Investment Research

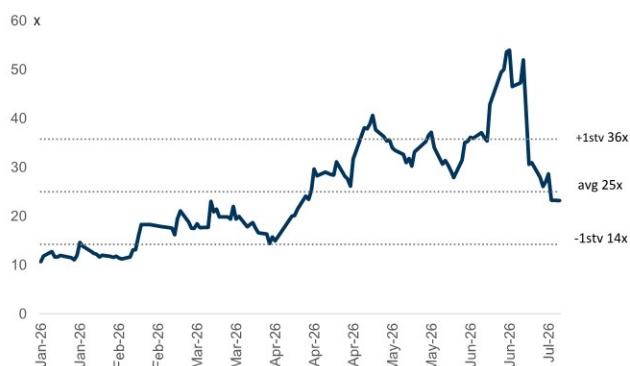
Our TP of HK\$1,000 implies 21x 2030E P/E (vs. 41% NI YoY and 30% OPM in 2031E), or 0.3x PEG & M (forward P/E divided by forward-year fundamentals), within China and global semiconductor peers' range from 0.1x to 1.9x, implying the valuation of Iluvatar is not stretched.

Exhibit 14: Cross check: Iluvatar PEG & M is in the range of China semis peers' PEG & M ratio

PEG&M	Current price implied						PEG&M	Current price implied		TP implied
Company	NVIDIA	AMD	JCET	Naura	Starpower	Hua Hong	Company	Iluvatar	Iluvatar	
Ticker	NVDA	AMD	600584.SS	002371.SZ	603290.SS	1347.HK	Ticker	9903.HK	9903.HK	
2027E P/E	14	41	53	41	31	107	2030E P/E	12		21
2028E NI YoY	31%	36%	39%	28%	9%	48%	2031E NI YoY	41%		41%
2028E OPM	69%	33%	8%	24%	16%	8%	2031E OPM	30%		30%
Ratio	0.1	0.6	1.1	0.8	1.2	1.9	Ratio	0.2		0.3
			Peers avg. (A share)			1.3				

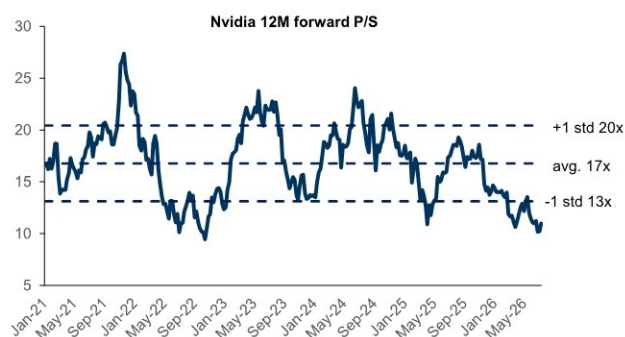
Source: Company data, Goldman Sachs Global Investment Research, Refinitiv Eikon

Exhibit 15: Iluvatar 12M forward P/S



Source: Eikon Datastream

Exhibit 16: NVIDIA 12M forward P/S



Source: Eikon Datastream

Our TP of HK\$1,000 implies 32x 2027E PS, supported by 107% YoY revenues growth in 2027-28E on average, and is between the company's historical average PS and the avg. +1stv. forward trading PS, implying Iluvatar's valuation is not stretched. Our TP implies 5x 2030E PS, which is lower than global-tier GPU suppliers' trading range. For example, NVIDIA currently trades at 8.0x 2027E PS, AMD at 10.3x 2027E PS.

Exhibit 17: Iluvatar peers comp table

Company	Ticker	Rating	Market cap US\$m	PE			NI YoY			Rev YoY			OPM		
				2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Iluvatar	9903.HK	Buy	15,571	NA	128	52	NA	NA	144%	187%	125%	88%	22%	25%	29%
Peers															
Nvidia	NVDA	Buy	4,827,275	22	13	10	105%	59%	27%	89%	56%	26%	67%	68%	69%
AMD	AMD	Buy	892,452	93	44	33	95%	105%	40%	43%	68%	26%	24%	29%	31%
Biren	6082.HK	Buy	19,033	NA	NA	169	NA	NA	94%	164%	213%	135%	-44%	2%	3%
Cambricon	688256.SS	Buy	137,370	152	93	58	198%	63%	60%	264%	65%	59%	27%	28%	29%
MetaX	688802.SS	Buy	45,936	NA	NA	NA	NA	1378%	180%	169%	135%	104%	1%	4%	7%
Horizon Robotics	9660.HK	Buy	6,562	NA	NA	9	NA	NA	NA	85%	57%	78%	-44%	-5%	23%
OmniVision	603501.SS	Neutral	17,208	25	16	13	19%	49%	22%	18%	21%	14%	17%	20%	21%
Verisilicon	688521.SS	Buy	25,146	NA	148	96	NA	105%	54%	68%	46%	35%	12%	17%	19%
Hygon	688041.SS	Not Covered	118,333	174	107	73	46%	52%	42%	57%	42%	33%	29%	30%	31%
Black Sesame	2533.HK	Not Covered	973	NA	NA	NA	NA	NA	NA	82%	55%	48%	-79%	-33%	-9%
Average			609,029	93	70	58	93%	259%	65%	104%	76%	56%	1%	16%	23%

Based on closing prices as of 15 Jul 2026

Source: Company data, Goldman Sachs Global Investment Research, Refinitiv Eikon

Key downside risks

- **Lower-than-expected AI chip demand in China market:** We model the rising AI chip demand in the China market as one of the key drivers of Iluvatar's revenue growth. Lower-than-expected AI chip demand in the China market could create downside risk to our estimates.
- **Fiercer-than-expected market competition:** Fiercer-than-expected market competition could drag on the company's GPU board shipments growth and the margin, creating downside risk.
- **Slow-than-expected product migration:** We see local AI chip suppliers developing next-generation AI chips with stronger performance to capture rising end-demand in the local market. If Iluvatar's product migration were to be slower than we currently expect, it would likely bring downside risk to its market competitiveness and shipment growth going forward.

M&A framework: We assign an M&A rank of 3 (indicating a low probability of the company being acquired) to Iluvatar based on the framework we apply to our China Semiconductor coverage. We also note Iluvatar was listed in Jan 2026 and that its concentrated share holding (CEO / Employee stock ownership platform hold ~ 9% / 20% of total shares as of Jul 2026) makes it an unlikely acquisition target in the near to mid-term, in our view. Accordingly, we do not include any M&A component in our price target.

Investment Thesis - Iluvatar

Iluvatar is a leading GPGPU fabless in China, serving over 300 clients in various industries. We expect strong net income growth driven by (1) China AI capex upcycle: as we highlighted in June ([Global Server TAM](#)), we raised China CSP AI capex by 37%/44%/55% in 2026E-28E, reflecting strong AI investment momentum in China. We expect the growing adoption of AI applications in China to drive further AI infrastructure investment; (2) Expansion of the local ecosystem across GPUs, servers, networking, foundation models, AI application, etc., which is encouraging local customers to reduce reliance on a single supplier and creating opportunities for the domestic supply chain; and (3) Product mix upgrade: continuous upgrades in AI chip specifications across training and inferencing workloads to cover a broader range of AI scenarios and computing requirements. We have a Buy rating on Iluvatar.

Price Target Risks and Methodology - Iluvatar

Valuation: Our 12-month target price of HK\$1,000 is based on 26.1x 2030E EV / EBITDA, discounted back to 2027E at COE of 12.7%. Our target EV / EBITDA multiple is derived from the peers' forward EV / EBITDA vs. EBITDA YoY correlation.

Key downside risks: Lower-than-expected AI chip demand in the China market; Fiercer-than-expected market competition; Slower-than-expected product migration.

Disclosure Appendix

Reg AC

We, Verena Jeng, Allen Chang and Yifan Hu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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